

TENTATIVE RULINGS

DEPARTMENT N17

Judge Craig L. Griffin

Date: June 22, 2026

Time: 2:00 PM

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1	Han v. FCA US LLC	Before the Court is the motion for attorney's fees and costs filed by Plaintiff Hee Sung Han against FCA US LLC (FCA). The Motion is GRANTED, in part, as set forth herein. FCA does not dispute that plaintiff is entitled to recover fees but does dispute the amount requested. The Song-Beverly Consumer Warranty Act, Civil Code section 1794, subdivision (d), provides a prevailing buyer in an action under this section "shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action." (Civ. Code, § 1794(d).) To award attorney fees under the Song-Beverly Consumer Warranty Act, the trial court is required to "make an initial determination of the actual time expended; and then to ascertain whether under all the circumstances of the case the amount of actual time expended and the monetary charge being made for the time expended are reasonable. These circumstances may include, but are not limited to, factors such as the complexity of the case and procedural demands, the skill exhibited and the results achieved." (<i>Nightingale</i>

v. Hyundai Motor America (1994) 31 Cal.App.4th 99, 104.) "A prevailing buyer has the burden of showing that the fees incurred were allowable, were reasonably necessary to the conduct of the litigation, and were reasonable in amount." (Ibid.) (Internal quotations omitted.)

With regard to the determination of a reasonable hourly rate, the court may rely on its own knowledge and familiarity with the legal market as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and declarations from other attorneys regarding prevailing fees in the community and rate determinations in other cases. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 41.) A trial court has broad discretion to determine the amount of reasonable attorney's fees, as an experienced trial judge is in the best position to decide the value of professional services rendered in court. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.)

The court has reviewed the documents submitted by the parties, along with documents in the Register of Actions. This was not a complex case and did not involve novel issues. In fact, based on the billing submitted, it appears only a single one-hour deposition was taken. Based on the court's review, several entries were not reasonable charges.

For example, in this action there were two law firms representing the same plaintiff which resulted in frequent duplicative entries for communications where one attorney updated the other on what they were doing. Further, the time spent billing for the motion for summary judgment and related documents was excessive, given the nature of the issues raised therein. Also, the instant motion for fees was not complicated and the requested fees were unreasonable. The court finds six hours of time to be reasonable for the entire fees motion and hearing.

The court also notes that according to the billing entry on 2/23/26, before the instant fees motion was filed, FCA requested a copy of plaintiff's counsel's time records in an apparent attempt to resolve the issues in this motion. Plaintiff replied by "declining voluntary production of time records." In the future, reasonable efforts should be made to resolve these type of motions, including producing the time records which will ultimately be submitted in support of the fees motion.

Mr. Beck also seeks recovery of time spent by his legal assistant. The court finds that many of the entries relate to service and filing of documents which are part of office overhead. Further, entries on 12/3/25, 3/6/25 and 11/21/24 relate to invoices and expenses which appear to be law firm accounting tasks.

Based on the court's review of the documents submitted and the court's file, as well as the court's knowledge of this case and similar cases brought under the Song Beverly Act, the court finds the following hours and rates to be reasonable in this case:

	Reasonable Rate	Reas. Hours	Amount
Benjeman Beck	\$450	62.2	\$27,990
Misoo Choi Kimbal	\$350	19.3	\$6,755
De Los Santos	\$100	12	\$1,200
TOTAL			\$35,945

Plaintiff also requests a 1.5 multiplier. "The amount of attorney fees awarded pursuant to the lodestar adjustment method may be increased or decreased." (*Mikhaeilpoor v. BMW of North America, LLC* (2020) 48 Cal.App.5th 240, 247.) "The trial court is neither foreclosed from, nor required to, award a multiplier. [Citations.]" (*Ibid.*) The Court does not find a multiplier warranted in this instance and **DENIES** the request for a multiplier.

Plaintiff also request an award of costs in the amount of \$3,097.87. FCA does not oppose the request for costs and therefore the request is **GRANTED**.

In total, the Motion is **GRANTED**, in part, and a total of \$39,042.87 is awarded as fees and costs (\$35,945 + \$3,097.87).

Counsel for Plaintiff is to give notice of this ruling.

2 Green v. Cleeland

The unopposed Motion for Discovery and Monetary Sanctions filed by plaintiff Michele Green is GRANTED in part and DENIED in part, as set forth herein.

Pursuant to Code Civ. Proc. § 2023.010(d), failing to respond to an authorized method of discovery is a misuse of the discovery process warranting sanctions. So, too, is disobeying a court order to provide discovery. (Code Civ. Proc. § 2023.010(g); *Van Sickle v. Gilbert* (2011) 196 Cal. App. 4th 1495, 1516.) Imposition of sanctions for misuse of discovery lies within the trial court's discretion. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal. App. 4th 967, 991.) Once a party is ordered by the court to provide responses to discovery, continued failure to respond may result in the imposition of more severe sanctions. (See Code Civ. Proc. §§ 2030.290(c) (interrogatories), 2031.300(c) (requests for production).)

Disobeying a court order to provide discovery is a misuse of the discovery process. Cal. Civ. Proc. Code § 2023.010(g); *Van Sickle v. Gilbert* (2011) 196 Cal.App.4th 1495, 1516.

The moving party need only show the failure to obey the court's earlier discovery orders. Thereafter, the burden of proof shifts to the party seeking to avoid sanctions to establish a satisfactory excuse for his or her conduct. (*Corns v. Miller* (1986) 181 Cal. App. 3d 195, 201; *Puritan Ins. Co. v. Sup.Ct. (Tri-C Machine Corp.)* (1985) 171 Cal. App. 3d 877, 884.)

		Here, on 10/8/25 the court granted the plaintiff's discovery motion and ordered Cleeland to provide verified responses, without objection, within 20 days after service of notice of this ruling, for the Form Interrogatories, Special Interrogatories, and Requests for Production. The plaintiff served a notice of the ruling on 10/9/25. Cleeland has failed to serve the court ordered responses. (Beggs Decl. ¶4) In the instant motion, plaintiff requests various sanctions, including terminating sanctions. Because terminating sanctions are drastic, it is generally recognized that "terminating sanctions are to be used sparingly, only when the trial court concludes that lesser sanctions would not bring about the compliance of the offending party." (<i>R.S. Creative, Inc. v. Creative Cotton, Ltd.</i> (1999) 75 Cal.App.4th 486, 496.) However, the court does find evidentiary sanctions warranted and therefore the motion is GRANTED, in part. As a result of the failure to comply with the court's 10/8/25 order, it is ORDERED that at the trial of this matter, (1) Rhonda Cleeland will be prohibited from offering any evidence at trial relating to any documents which were the subject of the seven requests for production of documents attached to the Motion to Compel at ROA 42 and (2) Rhonda Cleeland will be prohibited from offering any evidence at trial relating to any of the contentions identified in special interrogatories 1-18 attached to the Motion to Compel at ROA 42. In addition, the plaintiff's request for monetary sanctions pursuant to Code of Civil Procedure §2023.030(a) and 2030.290 is GRANTED, in part, and Rhonda Cleeland is ordered to pay \$677.98 in monetary sanctions to plaintiff, through her attorney of record, within 30 days. The plaintiff's request that the court order sanctions pursuant to Code of Civil Procedure §177.5 is DENIED because Section 177.5 was not referenced in the Notice of Motion. Counsel for Plaintiff is to give notice.
3	Rambunctious Ventures, LLC vs. J.W. Financial Solutions Inc.	Defendants J.W. Financial Solutions Inc., ("JWF"), J.W. FS LLC ("JW FS"), W. Joseph Mashini ("Mashini"), Palisade Legal Group PLLC ("Palisade"), and PLG Staffing LLC's ("Defendants" all together) demurrer to plaintiffs Rambunctious Ventures, LLC, and Robert Ainsworth's ("Plaintiffs" together) Second Amended Complaint ("SAC") is SUSTAINED. Defendants demur to all seven of the causes of action ("COA") in the SAC on the basis they fail to state sufficient facts. (Civ. Proc. Code § 430.10(e).) The court first notes since Mashini's prior demurrer was ruled as moot by the court (ROA 230) Mashini may join in this demurrer. <u>COA No. 1 – Breach of Implied Contract</u> This is a new COA, which was not included in the First Amended Complaint ("FAC"). Plaintiffs were not given leave to add any new

COA in the court's ruling on the prior demurrer. (ROA 230.) As such, this COA was improperly added. (*Harris v. Wachovia Mortg., FSB* (2010) 185 Cal. App. 4th 1018, 1023.) The court also notes Plaintiffs have not pled sufficient facts to support this COA.

"To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant's breach and resulting damage. [Citation.] If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal. App. 4th 299, 307.)

"Contracts may be express or implied. These terms however do not denote different kinds of contracts, but have reference to the evidence by which the agreement between the parties is shown. If the agreement is shown by the direct words of the parties, spoken or written, the contract is said to be an express one. But if such agreement can only be shown by the acts and conduct of the parties, interpreted in the light of the subject matter and of the surrounding circumstances, then the contract is an implied one." (*Marvin v. Marvin* (1976) 18 Cal. 3d 660, 686 fn.16.)

Plaintiffs identified a contract which indicated it was effective 11/01/21, however it is not signed by any of the Defendants. (SAC, Ex. 12.) Plaintiffs contend an email dated 06/29/21 supports an implied contract exists based upon the ICA, however that email pre-dates the alleged ICA. (SAC, Ex. 12.) The email was only from someone at JWF, does not state anything regarding Palisade or PLG, and refers to a 'Purchase Reimbursement and Commission,' none of which support the allegations.

The demurrer is **SUSTAINED** without leave to amend as this COA was impermissibly added.

COA No. 2 – Breach of Oral Contract

The elements of breach of oral contract are the same as a written contract noted above.

This COA is uncertain as it appears to now be alleging two separate oral contracts (SAC ¶¶ 101-123).

As to the Palisade contract allegations, Plaintiffs improperly swapped Palisade as the breaching party in for Moccia, which Plaintiffs alleged was the breaching party in the First Amended Complaint ("FAC"). The court in its 10/17/25 ruling denied Plaintiffs' motion for leave to amend to substitute Palisade as the breaching defendant. (ROA 230.) The court specifically held Plaintiffs were not permitted to substitute as Plaintiffs were aware of the relationship between Palisade and Moccia, so the relation back doctrine under Civ. Proc. Code § 474 was not available to avoid the running of statute of limitations.

The demurrer is **SUSTAINED** without leave to amend as to Palisade on this COA.

As for the allegations regarding the JWF second contract, the presented written contract which purports to have the terms of the oral contract is not signed by any of the Defendants. The unsigned exhibit controls over contrary allegations in the body of the pleading. (*Dodd v. Citizens Bank of Costa Mesa* (1990) 222 Cal. App. 3d 1624, 1627 ("*Dodd*").)

Plaintiffs alleged evidence of the oral contract is in SAC Exs. 3-6. Exhibit 6 shows a "starting balance of \$145,686" with alleged payments owed from 09/14/21 through 01/30/23. The alleged payback schedule transpires longer than one year, and the sum is more than the \$100,000 permitted under the code. The allegations of an oral contract violate the Statute of Frauds. (Civ. Code § 1624(a)(1) and (7).)

Based upon the lack of supporting facts and the Statute of Frauds, the demurrer is **SUSTAINED** with one final leave to amend as to the remaining defendants.

COA No. 3 – Breach of Oral Contract

As to the oral JWF first contract, Plaintiffs allege that JWF agreed to offer the FLP Plan to JWF's clients in exchange for FLP paying JWF certain portions of a one-time enrollment fee and subsequent monthly fees paid by clients. (SAC ¶ 114.) FLP would retain the remaining fees, except for some being paid to a marketing affiliate. FLP also made payments on a person vehicle for Mashini.

Although Defendants allegedly breached the JWF first contract in several ways (ROA 117) Plaintiffs do not allege any of the breaches were requirements or elements of the JWF first contract. There are no allegations Defendants were required to enroll clients in the FLP plan, that Defendants could not solicit existing FLP clients or suggest Veritas's services, that Defendants were required to permit Plaintiffs access to Defendant's CRMS, or that Defendants were prohibited from informing RAM and CFT the JWF first contract was terminated. Plaintiffs have also alleged no specific damages.

The demurrer is **SUSTAINED** with one final leave to amend.

COA No. 4 – Breach of Oral Contract

This COA is almost identical to COA No. 3, except for it is alleged against Palisade. It too suffers from any alleged breach of any terms of the purported Palisade first contract and any damages arising from said breach(es).

The demurrer is **SUSTAINED** with one final leave to amend.

COA No. 5 – Breach of Implied Covenant Of Good Faith and Fair Dealing

"There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie, Ltd. v. Dep't of Parks & Recreation* (1992)11 Cal. App. 4th 1026, 1032.)

As Plaintiffs have failed to allege any valid contract between Plaintiffs and Defendants, any actions Defendants performed that allegedly destroyed or injured Plaintiffs rights, and any resulting damages, they have not adequately pled this COA.

The demurrer is **SUSTAINED** with one final leave to amend.

COA No. 6 – Intentional Interference With Contract

"The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (*Quelimane Co. v. Stewart Title Guar. Co.* (1998) 19 Cal. 4th 26, 55.)

Plaintiffs alleged JWF and Palisade clients who enrolled in the FLP Plan pursuant to the JWF first contract and Palisade first contract were required to enter into a separate agreement with FLP. (SAC ¶ 155.) Plaintiffs have pled the contract and its terms between FLP and its clients and attached a copy of the subject contract to the SAC. (SAC ¶¶ 156-157, Ex. 2.) Plaintiffs alleged Defendants knew of the contracts. (SAC ¶ 161.) Plaintiffs also alleged disruption of contracts between Plaintiffs and their clients, and subsequent damages. (SAC ¶¶ 163, 168.)

However, the terms of the contract(s) that were allegedly interfered with show they were at will contracts with the agreement being month to month and that the FLP Clients could "cancel the agreement, for any reason, without penalty or obligation." (SAC, Ex. 2 p. 1.) A COA for tortious interference with at-will contracts requires independent wrongfulness [i.e., wrongful apart from the fact of the interference itself]. (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal. 5th 1130, 1137.) "It is now the plaintiff's burden to prove, as an element of the cause of action itself, that the defendant's conduct was independently wrongful and, therefore, was not privileged rather than the defendant's burden to prove, as an affirmative defense, that it's conduct was not independently wrongful and therefore was privileged." (*Bed, Bath & Beyond of La Jolla, Inc. v. La Jolla Vill. Square Venture Partners* (1997) 52 Cal. App. 4th 867, 881.)

Plaintiffs' only allegation of wrongful conduct was that the conduct also constituted a breach of the agreements (as defined above). (SAC ¶ 163.) It is unclear what 'Agreements' Plaintiffs are referring

		to as the JWF first and second contracts and Palisade first contract were not adequately pled. Plaintiff has also not pled any independent wrongfulness on the part of Defendants. The economic loss rule ("ELR") does not apply to an interference COA as Plaintiffs are not alleging damages for interference of any contracts between Plaintiffs and Defendants (where the ELR would apply), but rather interference with contract between Plaintiffs and third-party (where ELR does not apply) The demurrer is SUSTAINED with one final leave to amend. <u>COA No. 7 – Intentional Interference With Prospective Economic Advantage</u> "Intentional interference with prospective economic advantage has five elements: (1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant's action." (<i>Roy Allan Slurry Seal, Inc. v. Am. Asphalt S., Inc.</i> (2017) 2 Cal. 5th 505, 512.) The same analysis as COA No. 6 applies here. The demurrer is SUSTAINED with one final leave to amend. Plaintiffs are given leave to file an amended complaint within 15 days of written notice of the ruling. Case Management Conference is CONTINUED to October 16, 2026 at 9.30 a.m. Defendants to give notice.
4	Burke v. Benwith Capital Partners, LLC	O/C
5	Lawrence v. Chang	The motion of plaintiff/cross-defendant, Robert D. Lawrence (Lawrence) for an order fixing amount of appeal bond is GRANTED IN PART. Lawrence moves for an order fixing the amount of the bond to be given to stay enforcement pending appeal of the Interlocutory Judgment for Partition by Sale entered on February 9, 2026, pursuant to Code of Civil Procedure section 917.4. As an initial matter, Lawrence cites no authority that would permit the Court to allow Lawrence to use the equity in the subject property in lieu of filing an undertaking as required by section 917.4. The Court therefore declines to do so.

		The Court will set the undertaking in the sum of \$25,000. This represents a “use and occupancy” component comprised of a \$4,000 monthly rental figure for a one-year appeal period limited to defendant/cross-complainant, Stephanie Chang’s (Chang) 50% proportional interest in the subject property, plus a nominal amount of \$1,000 for the waste component as the Court finds there is very little risk of waste here. The undertaking is subject to increase if the appeal remains pending longer than one year. Lawrence is ordered to keep mortgage payments, taxes, utilities, and insurance on the subject property current and to provide monthly proof of payment thereof to Chang’s counsel. Counsel for Lawrence shall submit a proposed order in accordance with this ruling. Status Conference set for this date is OFF-CALENDAR. Counsel for Lawrence shall give notice.
6	Farrow v. Goulis	The motion to stay proceedings filed by defendants Kelly Goulis, Chander Burgos, and Rohit Chauhan (collectively, Defendants) is GRANTED. Defendants move to stay this proceeding pending resolution of the related probate matter, <i>In the Matter of the Elizabeth Thermos 1998 Trust, as Amended and Restated</i>, Los Angeles Superior Court Case No. 22STPB12506, involving plaintiff Maria Farrow, as Trustee of the Elizabeth Thermos 1998 Trust dated May 21, 1998, as amended and restated (Plaintiff) and defendant Kelly Goulis. “Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (<i>Freiberg v. City of Mission Viejo</i> (1995) 33 Cal.App.4th 1484, 1489; see also Code Civ. Proc., § 128, subd. (a) [“Every court shall have the power . . . (3) [t]o provide for the orderly conduct of proceedings before it . . . [and] (8) [t]o amend and control its process and orders so as to make them conform to law and justice.”].) “When an action is brought in a court of this state involving the same parties and the same subject matter as an action already pending in a court of another jurisdiction, a stay of the California proceedings is not a matter of right, but within the sound discretion of the trial court. In exercising its discretion the court should consider the importance of discouraging multiple litigation designed solely to harass an adverse party, and of avoiding unseemly conflicts with the courts of other jurisdictions. It should also consider whether the rights of the parties can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.” (<i>Farmland Irr. Co. v. Dopplmaier</i> (1957) 48 Cal.2d 208, 215.) The Court finds a stay of the instant action pending resolution of the probate proceeding warranted to avoid inconsistent rulings and to

promote judicial efficiency. Both parties agree that the validity of the trust amendment that names Plaintiff as trustee of the Elizabeth Thermos 1998 Trust dated May 21, 1998, as amended and restated (Thermos Trust) is currently being litigated in the probate matter. As Defendants argue, a determination by the probate court that said trust amendment is invalid would nullify any actions taken by Plaintiff as purported trustee (including electing herself as director of Urethane Products Corporation (UPC) based on her standing as trustee of the Thermos Trust) and could render the instant action moot. If this Court proceeds with the instant action and makes a finding as to the validity of UPC director elections, such a finding could potentially conflict with a determination of trust validity made by the probate court. Moreover, as Defendants argue, in adjudicating the instant action, this Court would necessarily be confirming Plaintiff's authority as trustee, which determination could potentially conflict with findings in the probate court.

Although Plaintiff is correct that the probate and civil actions will decide different issues, both cases involve the same underlying subject matter – i.e., Plaintiff's authority as trustee of the Thermos Trust. As that issue is already being litigated in the probate court, a stay of the current proceeding pending resolution of the probate case is warranted to avoid conflicting rulings and duplicative litigation.

Furthermore, the issue of Plaintiff's authority as trustee is best determined by the probate court as that court has exclusive jurisdiction of proceedings concerning the internal affairs of trusts. (See Probate Code, § 17000(a); *Harnedy v. Whitty* (2003) 110 Cal.App.4th 1333, 1345 ["Internal trust affairs, for example, include modification of the terms of the trust, changes in a designated successor trustee, other deviation from trust provisions, authority over the trustee's acts, or the administration of the trust's financial arrangements."].)

Plaintiff argues repeatedly that her powers as trustee have not been suspended and she thus has standing and the authority to proceed with this section 709 action. But this misses the point. The issue is not whether Plaintiff currently has standing to proceed with this action, but whether this Court should exercise its discretion to stay the action pending resolution of the probate case. For the reasons discussed above, the Court will do so.

Plaintiff has not adequately shown or offered sufficient evidence to support the contention that UPC's operations will be harmed by a stay.

Accordingly, the motion is **GRANTED**.

A Status Conference re: Status of Probate Matter is scheduled for October 16, 2026, at 9:30 a.m. in Dept. N17.

The parties' requests for judicial notice are **GRANTED** as to the existence of and legal effects of the records, but not as to the truth of any disputed facts asserted therein. (Ev. Code §452(d); *Fontenot*

		<i>v. Wells Fargo Bank, NA</i> (2011) 198 Cal.App.4th 256, 264; <i>Arce v. Kaiser Foundation Health Plan, Inc.</i> (2010) 181 Cal.App.4th 471, 482.) The parties' evidentiary objections are OVERRULED. Defendants shall give notice.
7	Fleck v. AutoNation, Inc.	O/C
8	Geraci v. Geraci LLP	Before the Court are the following two motions: (1) motion to disqualify attorney of record filed by plaintiffs Anthony Geraci and Geraci Legal Corporation (collectively, Plaintiffs); and (2) motion to compel arbitration filed by defendants Geraci LLP; Dagbandan Service APC; KKC Legal APC; Wimeo APC; Lightning Docs LLC; Nema Dagbandan; Natalie Dagbandan; Melissa Martorella; Kevin Kim; Siuen Kim; Dennis Baranowski; and Cameo Baranowski (collectively, Defendants). For the reasons set forth below, Motion 1 is DENIED and Motion 2 is GRANTED. <u>Motion No. 1: Motion to Disqualify Attorney</u> Plaintiffs move for an order disqualifying Raines Feldman Littrell LLP (Defense Counsel) as counsel of record for Defendants. Plaintiffs contend Defense Counsel's concurrent representation of Geraci LLP and Lightning Docs LLC, as well as the individual defendants and their alter ego entities, creates an irreconcilable conflict of interest necessitating Defense Counsel's disqualification. (See Cal. Rules of Prof. Conduct, Rule 1.7.) Plaintiffs contend a conflict exists because Defense Counsel simultaneously represents the very entities harmed—Geraci LLP and Lightning Docs LLC—alongside the insiders of those entities accused of "looting and mismanaging them." "[W]here the same attorney simultaneously represents potentially conflicting parties, the primary interest at stake is the attorney's duty of loyalty. (Citation.)...When the duty of loyalty applies, courts have found the conflict to require "<i>per se</i>, or automatic disqualification, in all but a few instances." (Citation.) "The strict proscription against dual representation of clients with adverse interests thus derives from a concern with protecting the integrity of the attorney-client relationship rather than from concerns with the risk of specific acts of disloyalty or diminution of the quality of the attorney's representation." (Citation.) ... [¶] A potential conflict, however, does not warrant automatic disqualification of joint counsel. (Citations.)" (<i>Gong v. RFG Oil, Inc.</i> (2008) 166 Cal.App.4th 209, 214-215.) Here, Plaintiffs have not shown that any actual conflict exists. Plaintiffs argue summarily that the complaint alleges insider misconduct and looting and mismanagement of Geraci LLP and

Lightning Docs LLC, but they fail to point to any specific complaint allegations to support their argument. A review of the complaint does not appear to show any claims for damages on behalf of these entities or any personal use of corporate funds or other conduct harming the entities. Rather, the complaint appears to show Plaintiffs are seeking damages solely on behalf of themselves and are alleging misconduct directed to Plaintiffs, i.e., that Defendants are attempting to "squeeze" Mr. Geraci out of the businesses.

The only allegation that could be deemed to allege misconduct or damage directed to the entities is the allegation regarding conversion of LLP property to Fortra law. (See Compl., ¶ 30.) But this allegation is conclusory as there are no facts alleged to support this claim. The complaint also alleges Defendants are advertising that Geraci LLP has changed its name to Fortra Law, so it appears the companies are the same. (See Compl., ¶ 32.) This undermines any allegation of corporate waste or conversion. Moreover, to the extent Mr. Geraci states in his declaration that Defendants unlawfully converted the firm's assets to Fortra Law, no evidence is offered to back up this claim. All that is presented is the conclusory statement in Mr. Geraci's declaration. In addition, Defendants' evidence shows Fortra Law is actually a rebranding of Geraci LLP and is thus the same company. (See Dagbandan Decl., ¶ 46, ROA 79.)

In terms of the involuntary dissolution causes of action, these claims do not automatically mandate disqualification. "[A]bsent a factual scenario suggesting a conflict exists, an involuntary dissolution action does not necessarily pit the corporation against the defendant owner in the manner of a derivative action...Thus a dissolution cause of action does not, by its nature, create the sort of conflict a derivative action creates." (*Coldren v. Hart, King & Coldren, Inc.* (2015) 239 Cal.App.4th 237, 247.) As discussed above, Plaintiffs have not clearly shown any conflict of interest exists.

To the extent Plaintiffs argue they have brought a derivative suit which mandates disqualification, Plaintiffs have not shown their claims are indeed derivative. Plaintiffs argue summarily that their complaint asserts derivative claims, but they fail to offer any reasoned analysis, or cite any authority, showing why this is so. Plaintiffs offer no discussion of the requirements of a derivative litigation, and they fail to cite to any specific complaint allegations to support their contention they have brought derivative claims.

Further, contrary to Plaintiffs' argument, the ongoing JAMS arbitration between the parties tends to show Defendants' interests are aligned in that all Defendants apparently seek to protect against Plaintiffs' alleged attempts to harm the businesses and seek to enforce the terms of the Operating Agreement and Partnership Agreement.

Based on the foregoing, the motion to disqualify is **DENIED**.

Defendants' request for judicial notice is **DENIED** as the documents sought to be judicially noticed are not relevant to the disposition of this motion.

Defendants' evidentiary objections are **SUSTAINED** as to objection nos. 4 through 11, based on lack of foundation. The remaining objections are **OVERRULED**.

Motion No. 2: Motion to Compel Arbitration

A party seeking to compel arbitration pursuant to Code of Civil Procedure section 1281.2 "has the burden of proving the existence of a valid arbitration clause and the dispute is covered by the agreement." (*Larian v. Larian* (2004) 123 Cal.App.4th 751, 760.) "If the moving party meets its burden, the opponent of arbitration has to prove by a preponderance of the evidence any defense to the petition or motion to compel the dispute to be arbitrated." (*Ibid.*)

" '[T]he decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause in question is 'broad' or 'narrow.' " (Citation.) "A 'broad' clause includes those using language such as 'any claim arising from or related to this agreement' " (Citation.) or "arising in connection with the [a]greement" (Citation). "It has long been the rule in California that a broadly worded arbitration clause ... may extend to tort claims that may arise under or from the contractual relationship... " '[W]here contracts provide arbitration for " 'any controversy ... arising out of or relating to the contract ... ' " the courts have held such arbitration agreements sufficiently broad to include torts, as well as contractual, liabilities so long as the tort claims "have their roots in the relationship between the parties which was created by the contract." " (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 186.) (Emphasis in original.)

Defendants seek to compel arbitration of all causes of action asserted against them in Plaintiffs' complaint based on the arbitration clauses contained in the December 4, 2023 Partnership Agreement for Geraci LLP (Partnership Agreement) and the December 4, 2023 Limited Liability Company Operating Agreement for Lightning Docs LLC (Operating Agreement). (See Dagbandan Decl., Exhs. 1 & 2.)

The Court finds the arbitration clauses at issue are broad provisions covering the claims at issue in this dispute. All claims arise out of or relate to the Partnership Agreement and/or Operating Agreement or consist of a dispute between members of the LLC. (See generally, Complaint.)

Although defendants Natalie Dagbandan, Siun Kim, and Cameo Baranowski are not signatories to either the Partnership Agreement or Operating Agreement and not every defendant is a party to both agreements, because Plaintiffs have alleged that all Defendants are alter egos and/or agents of each other, each defendant may invoke the arbitration clauses at issue. (See Compl., ¶¶ 16, 35-40; see also, *Rowe v. Exline* (2007) 153 Cal.App.4th 1276, 1284-1285

[nonsignatory could compel arbitration of breach of contract claim when sued as a signatory's alter ego]; *Garcia v. Pexco, LLC* (2017) 11 Cal.App.5th 782, 788—"[A] defendant may enforce the arbitration agreement, 'when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement....'"")

Based on the foregoing, Defendants met their initial burden of demonstrating the existence of a written arbitration agreement between the parties covering the instant dispute. The burden thus shifted to Plaintiffs to prove any defense to enforcement. Plaintiffs failed to meet that burden.

In the Opposition, Plaintiffs argue the motion should be denied because: (1) California Corporations Code sections 16103, subd. (b)(8) and 17701.10, subd. (c)(7) prohibit arbitration provisions from divesting the Superior Court of jurisdiction to decree the dissolution of a partnership or limited liability company; (2) Plaintiffs' tort causes of action fall outside of the language of the subject arbitration provisions; (3) granting the petition will result in Plaintiffs' claims being divided into three different jurisdictions resulting in the possibility of conflicting rulings and duplication of efforts; and (4) Defendants' motion to compel arbitration should be stricken based on the conflict of interest identified in Plaintiff's motion to disqualify counsel.

As to the first argument, as Defendants contend, neither the Operating Agreement nor the Partnership Agreement purports to divest the Court of jurisdiction to enter a dissolution decree. The subject arbitration clauses specifically provide that judgment upon the arbitrator's award may be entered by the court. Thus, as Defendants assert, following arbitration, the arbitrator's award would then be confirmed by the Court, which would enter the dissolution decree based on the arbitrator's findings. Plaintiffs cite no authority prohibiting the foregoing procedure or prohibiting the arbitrator from deciding the underlying factual disputes. Moreover, Defendants' cited authority shows the dissolution claims in this action may be arbitrated based on the broad arbitration clauses contained in the subject agreements. (See *Larkin v. Williams, Woolley, Cogswell, Nakazawa & Russell* (1999) 76 Cal.App.4th 227, 229-231.)

Plaintiffs' second argument fails because, as discussed above, all claims herein are encompassed by the broad arbitration clauses at issue, and all defendants may invoke the arbitration clauses.

As to the third argument, Plaintiffs cite no authority showing concerns pertaining to judicial economy and duplication of efforts are a permissible basis to deny a motion to compel arbitration. In terms of the possibility of conflicting rulings under Code of Civil Procedure section 1281.2, this concern is not triggered unless there are some claims that are not arbitrable. "The court's discretion under section 1281.2, subdivision (c) does not come into play until it is ascertained that the subdivision applies, which requires the threshold determination of whether there are nonarbitrable claims against at least one of the parties to the litigation." (*Avila v. S.*

		<i>California Specialty Care, Inc.</i> (2018) 20 Cal.App.5th 835, 840.) Here, as discussed above, all claims are arbitrable. Regarding Plaintiff's fourth argument, as discussed above in connection with the motion to disqualify, Plaintiffs failed to demonstrate any conflict of interest. Based on the foregoing, the motion to compel arbitration is GRANTED. This matter is hereby STAYED. A Status Conference Re: Status of Arbitration is scheduled for October 16, 2026 at 9:30 a.m. Counsel for Defendants shall give notice of these rulings.
9	Vivian v. MHCC, Inc.	Before the Court are 1) a motion for sanctions pursuant to Code of Civil Procedure section 128.5 and 2) a motion for attorney fees pursuant to Code of Civil Procedure section 2033.420, both filed by defendant Ohio Security Insurance Company (Defendant) against plaintiffs Scott Vivian and Pacific Construction Management International LLC (Plaintiffs). For the reasons set forth below, the motion for sanctions is DENIED, and the motion for attorney fees is CONTINUED for further proof. <u>Motion for Sanctions:</u> Code of Civil Procedure Section 128.5, subdivision (a) provides that: "[a] trial court may order a party, the party's attorney, or both, to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay." The responding party must have acted in subjective bad faith, that is, personally intended to use improper tactics. (<i>In re Marriage of Sahafzadeh-Taeb & Taeb</i> (2019) 39 Cal.App.5th 124, 134; 7 Witkin Cal. Procedure Trial (2025 update) § 206.) Section 128.5 provides a mandatory safe harbor provision, i.e., the moving party must serve the notice of motion at least 21 days before filing the motion to give the offending party an opportunity to withdraw or correct its action or tactic during that time. (Code of Civ. Proc. § 128.5, subd. (f)(1).) The safe-harbor provision applies in the "filing and service of a complaint . . . that can be withdrawn or appropriately corrected." (Code of Civ. Proc. § 128.5, subd. (f)(1).) Here, Defendant failed to show compliance with the 21-day safe harbor provision. Defendant complains the "entire action" – meaning the Complaint – is frivolous, but there is no evidence Defendant gave Plaintiffs the opportunity to withdraw or correct the Complaint, prior to Defendant filing the instant motion. Defendant's failure to comply with the safe-harbor provision is fatal to the motion. (Code of Civ. Proc. § 128.5, subd. (f)(1); <i>Nutrition Distribution, LLC v. Southern SARMS, Inc.</i> (2018) 20 Cal.App.5th 117, 130.)

Defendant's reliance on *Changsha Metro Group Co. Ltd. v. Xufeng* (2020) 57 Cal.App.5th 1 is misplaced. The court in *Changsha* held the 21-day safe harbor provision under Section 128.5, subdivision (f) does not apply to frivolous motions to strike pursuant to the anti-SLAPP statute, Code of Civil Procedure section 425.16, and instead, plaintiff's request for anti-SLAPP attorney's fees should be made in the opposition to the motion to strike. (*Id.* at 21-23.) The conflict noted in *Changsha* between the safe harbor provision of 128.5(f) and section 425.16 does not exist with respect to an allegedly frivolous complaint.

The motion for sanctions is therefore **DENIED**.

Motion for Attorney Fees:

Under Code of Civil Procedure section 2033.420, a party is entitled to reasonable attorney's fees for having to prove matters at trial which were denied by the adverse party in response to requests for admission (RFAs), unless an exception applies, e.g., the party failing to make the admission had reasonable ground to believe that the party would prevail on the matter. (Code of Civ. Proc. § 2033.420, subd. (a), (b).) Costs may be awarded when the requesting party proves the matter at trial or on a motion for summary judgment. (*Barnett v. Penske Truck Leasing Co., L.P.* (2001) 90 Cal.App.4th 494, 497-499.) The burden of showing one of the exceptions in Section 2033.420 applies is on the party seeking to avoid paying costs. (*Samsky v. State Farm Mut. Auto. Ins. Co.* (2019) 37 Cal.App.5th 517, 524.) The determination of whether there were no good reasons for the denial of a requested admission, whether the requested admission was of substantial importance, and the amount of expenses to be awarded, if any, are all within the sound discretion of the trial court; an abuse of discretion occurs only where it is shown that the trial court exceeded the bounds of reason. (*Bloxham v. Saldinger* (2014) 228 Cal.App.4th 729, 753.)

Here, Defendant argues it is entitled to attorney's fees for having to prove the truth of the matters denied by Plaintiffs regarding entitlement to benefits under the insurance policy issued by Defendant to Affordable Coastal Glass, Inc. Plaintiffs contend that, at the time of the denials early in this action, they had reasonable grounds for denying the RFAs because they are named additional insureds on the insurance policy. "In evaluating whether a good reason exists for denying a request to admit, a court may properly consider whether at the time the denial was made the party making the denial held a reasonably entertained good faith belief that the party would prevail at trial." (*Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1276 [internal quotes and citations omitted]; *Grace v. Mansourian* (2015) 240 Cal.App.4th 523, 532 [party's subjective belief alone insufficient, i.e., reasonable ground "means more than a hope or a roll of the dice"].)

While Plaintiffs assert they believed the policy covered "damaged or stolen property" (Declaration of Jeffrey Arlen ("Arlen Decl."), Ex. 3 at ¶¶ 5-8), the belief is not reasonable. The plain language of the policy states insurance coverage is for indemnification and duty to

		defend against third party lawsuits, not for damages to the property resulting from the insured's faulty work on the project. (ROA 207.) Notably, Plaintiffs do not state the insurance policy was unavailable at the time they responded to the RFAs. Plaintiffs' position was clearly untenable and unreasonable. Had Plaintiffs' counsel simply read the policy or conducted routine research, Plaintiffs would have realized they could not prevail at trial on the insurance coverage issue. Defendant has shown entitlement to reasonable attorney fees. Nevertheless, Defendant failed to show the attorney fees incurred were reasonable. Code of Civil Procedure section 2033.420 allows "<u>reasonable</u> expenses" in proving matters in RFA true, including "<u>reasonable</u> attorney's fees." (Code of Civ. Proc. § 2033.420, subd. (a)[emphasis added].) The party seeking attorney's fees is not entitled to all hours they claim in an attorney fee request and must prove that the hours sought are reasonable and necessary. (<i>Concepcion v. Amscan Holdings, Inc.</i> (2014) 223 Cal.App.4th 1309, 1320.) While detailed billing timesheets are not required, the declaration of counsel should set forth the reasonable hourly rate, the number of hours worked and the tasks performed. (<i>Id.</i>) Here, defense counsel's declaration merely states the total amount of fees incurred, without any information as to time spent, hourly rates or tasks performed. As such, the Court cannot determine whether the fees incurred were reasonable, and Defendant failed to meet its moving burden. While Counsel does state his billing rate for purposes of drafting the motion for attorney fees, those fees are not incurred in proving the truth of the matter in the RFAs and Defendant fails to cite to any authority such fees are recoverable under Code of Civil Procedure section 2033.420. In its reply, Defendant requests the opportunity to submit further evidence regarding the fees sought. The Court grants the request, and hereby CONTINUES the hearing on the motion for attorney fees to July 20, 2026, at 2:00 p.m. Defendant to submit further evidence no later than July 6, and Plaintiff may submit a further response no later than July 10. Counsel for Plaintiffs shall give notice.
10	Mahgerefteh vs. Garza	<u>Demurrer</u> Defendant Steven Anthony Garza's ("Defendant") demurrer to proper plaintiff Nasser Mahgerefteh's ("Plaintiff") Third Amended Complaint ("TAC") is SUSTAINED in part and OVERRULED in part. Sustained as to causes of action ("COA") Nos. 2 – 3, 5 – 6, and 8 – 12. OVERRULED as to COA Nos. 1, 4, and 7. Defendant demurs to all 12 causes of action ("COA") in the TAC on the basis that they fail to state sufficient facts and are uncertain. (Civ. Proc. Code § 430.10(e) and (f).) It should be noted Defendant

made almost no specific arguments in the demurer as to most of the COA.

1) COA No. 1 – Breach of Contract

"To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant's breach and resulting damage. [Citation.] If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal. App. 4th 299, 307.)

Plaintiff alleged Plaintiff and Defendant entered a lease contract with Defendant for the rental of the Property at \$4,800/mo. (TAC p. 18.) Defendant stopped paying rent on 12/04/23, and vacated the Property on 09/12/24. Plaintiff has been damaged in the amount of \$41,890 in unpaid rent plus accrued interest. A copy of the contract was attached as Ex. 1.

Plaintiff has pled sufficient facts to support this COA, and it is not uncertain. The demurrer is **OVERRULED** as to this COA.

2) COA No. 2 – Damages

'Damages' is not a separate COA, but rather an element to other COA. Plaintiff only states he is entitled to recover damages to the Property and that he is still investigating. (Complaint pp. 19-20.) Plaintiff does not provide any other allegations.

Plaintiff has not pled sufficient facts to support this COA, and it is uncertain. The demurrer is **SUSTAINED** as to this COA with leave to amend.

3) COA No. 3 – Extortion

"(a) Every person who, with intent to extort property or other consideration from another, sends or delivers to any person any letter or other writing, whether subscribed or not, expressing or implying, or adapted to imply, any threat such as is specified in Section 519 is punishable in the same manner as if such property or other consideration were actually obtained by means of such threat. . ." (Penal Code § 523.)

"Fear, such as will constitute extortion, may be induced by a threat of any of the following:

1. To do an unlawful injury to the person or property of the individual threatened or of a third person.
2. To accuse the individual threatened, or a relative of his or her, or a member of his or her family, of a crime.
3. To expose, or to impute to him, her, or them a deformity, disgrace, or crime.
4. To expose a secret affecting him, her, or them.

5. To report his, her, or their immigration status or suspected immigration status.” (Penal Code § 519.)

Here, Plaintiff alleged Defendant threatened in writing that unless Plaintiff paid Defendant a large sum of money, Defendant would extend the unlawful detainer (“U.D.”) case and avoid paying rent. (TAC pp. 20-21.) Defendant also allegedly told Plaintiff’s property manager Defendant would end his tenancy peacefully is Plaintiff paid Defendant \$100,000. No copy of the alleged letter was attached to the TAC nor were the specific contents of the letter provided.

Plaintiff has not pled sufficient facts to support this COA. The demurrer is **SUSTAINED** as to this COA with leave to amend.

4) COA No. 4 – Abuse of Process

“To establish a cause of action for abuse of process, a plaintiff must plead two essential elements: that the defendant (1) entertained an ulterior motive in using the process and (2) committed a wilful act in a wrongful manner.” (*Coleman v. Gulf Ins. Grp.* (1986) 41 Cal. 3d 782, 792.)

Plaintiff alleged Defendant filed a frivolous motion to quash service of summons twice in March 2024 and 06/12/24 (ROA 10) to delay the U.D. case. There is no reference or evidence supporting a March 2024 motion being filed as this matter given the original complaint was not filed until 06/03/24. There is no evidence of a different action being filed by Plaintiff. As for the June 2024 motion, that was taken off calendar by Defendant on or prior to the date of the 07/08/24 hearing. (ROA 45.) During that time Defendant also filed a demurrer and motion to strike the complaint on 07/03/24. (ROA 50, 53.)

Plaintiff has pled sufficient facts to support this COA at least as to the 06/12/24 motion, and it is not uncertain. The demurrer is **OVERRULED** as to this COA.

5) COA No. 5 – Fabrication of False Evidence

This COA is uncertain as there is no “fabrication of false evidence” COA. Plaintiff alleged Defendant fabricated evidence by sabotaging plumbing, failing to report leaks, removing rodent bait stations, exposing live wires to environmental damage, causing sewage overflows, applying mold samples to wet drywall to artificially cultivate mold growth, and intentionally stuffing paper towels in sewer clean out and leaving water running. Plaintiff made no allegations as to whom Defendant allegedly presented the false evidence, to what purpose, and how Plaintiff was damaged by the alleged false evidence.

Plaintiff has not pled sufficient facts to support this COA, and it is uncertain. The demurrer is **SUSTAINED** as to this COA with leave to amend.

6) COA No. 6 – Fraud

"The elements for the cause of action for constructive fraud are: (1) fiduciary relationship; (2) nondisclosure (breach of fiduciary duty); (3) intent to deceive, and (4) reliance and resulting injury (causation)." (*Stokes v. Henson* (1990) 217 Cal. App. 3d 187, 197.)

Plaintiff merely parroted the elements of this COA without providing specific facts, reliance, and damages.

Plaintiff has not pled sufficient facts to support this COA. The demurrer is **SUSTAINED** as to this COA with leave to amend.

7) COA No. 7 – Violation of Civil Code §§ 1954

"(a) A landlord may enter the dwelling unit only in the following cases:

(1) In case of emergency.
(2) To make necessary or agreed repairs, decorations, alterations or improvements, supply necessary or agreed services, . . . or contractors or to make an inspection pursuant to subdivision (f) of Section 1950.5.

. . .

(4) Pursuant to court order.

(5) For the purposes set forth in Chapter 2.5 (commencing with Section 1954.201).

(6) To comply with the provisions of Article 2.2 (commencing with Section 17973) of Chapter 5 of Part 1.5 of Division 13 of the Health and Safety Code.

(b) Except in cases of emergency or when the tenant has abandoned or surrendered the premises, entry may not be made during other than normal business hours unless the tenant consents to an entry during other than normal business hours at the time of entry.

(c) The landlord may not abuse the right of access or use it to harass the tenant.

(d)(1) Except as provided in subdivision (e), or as provided in paragraph (2) or (3), the landlord shall give the tenant reasonable notice in writing of his or her intent to enter and enter only during normal business hours. The notice shall include the date, approximate time, and purpose of the entry. The notice may be personally delivered to the tenant, left with someone of a suitable age and discretion at the premises, or, left on, near, or under the usual entry door of the premises in a manner in which a reasonable person would discover the notice. Twenty-four hours shall be presumed to be reasonable notice in absence of evidence to the contrary. The notice may be mailed to the tenant. Mailing of the notice at least six days prior to an intended entry is presumed reasonable notice in the absence of evidence to the contrary.

. . .

(3) The tenant and the landlord may agree orally to an entry to make agreed repairs or supply agreed services. The agreement shall include the date and approximate time of the entry, which shall be within one week of the agreement. In this case, the landlord is not required to provide the tenant a written notice.

(e) No notice of entry is required under this section:

- (1) To respond to an emergency.
- (2) If the tenant is present and consents to the entry at the time of entry.
- (3) After the tenant has abandoned or surrendered the unit." (Civ. Code § 1954.)

Plaintiff alleged Defendant refused Plaintiff and Plaintiff's repairman's entry onto the Property on 34 separate occasions despite 24 and 48 hours notices and instead Defendant demanded a court order each time Plaintiff wanted to enter the Property. (TAC pp. 11, 14, 27.)

Plaintiff has pled sufficient facts to support this COA, and it is not uncertain. The demurrer is **OVERRULED** as to this COA.

8) COA No. 8 – Violation of Penal Code § 118

Penal Code § 118 applies to perjury before the court. "There is no civil cause of action for "perjury." [Citations.] Perjury is a criminal wrong." (*Pollock v. Univ. of S. California* (2003) 112 Cal. App. 4th 1416, 1429.) Plaintiff cannot plead a civil COA for perjury as one does not exist.

The demurrer is **SUSTAINED** without leave to amend as to this COA.

9) COA No. 9 – Defamation, Slander, Libel

"The elements of a defamation claim are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage.' " (*Jackson v. Mayweather* (2017) 10 Cal. App. 5th 1240, 1259.)

Plaintiff alleged Defendant made several written defamatory statements in motions filed in this case, and that defense counsel made a slanderous statement to the Judge on 06/26/25. The statements alleged all appear to fall under the litigation privilege. "[C]ommunications made in connection with litigation do not necessarily fall outside the privilege simply because they are, or are alleged to be, fraudulent, perjurious, unethical, or even illegal. This is assuming, of course, that the communications are "logically related" to the litigation. The communications in this case were not only related to the litigation, they were the litigation, or more accurately the pleadings in the litigation." (*Kashian v. Harriman* (2002) 98 Cal. App. 4th 892, 920.)

The demurrer is **SUSTAINED** with leave to amend as to this COA.

10) COA No. 10 – Negligent Infliction of Emotional Distress

"[A]s our Supreme Court has made abundantly clear, there is no such thing as the independent tort of negligent infliction of emotional distress." (*Lawson v. Mgmt. Activities, Inc.* (1999) 69 Cal. App. 4th 652, 656.)

The demurrer is **SUSTAINED** without leave to amend as to this COA.

11) COA No. 11 – Intentional Infliction of Emotional Distress

The elements to a claim for Intentional Infliction of Emotional Distress are, “(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct.” (*Hughes v. Pair* (2009) 46 Cal. 4th 1035, 1050.)

Plaintiff merely parroted the elements of this COA without alleging any specific facts which support each of the elements. Plaintiff also states something about a plea for removal of cameras, but there is nothing else in the TAC regarding cameras.

The demurrer is **SUSTAINED** with leave to amend as to this COA.

12) COA No. 12 – Breach of Covenant of Fair Dealing

“There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract.” (*Racine & Laramie, Ltd. v. Dep’t of Parks & Recreation* (1992) 11 Cal. App. 4th 1026, 1032.) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (*Careau & Co. v. Sec. Pac. Bus. Credit, Inc.* (1990) 222 Cal. App. 3d 1371, 1395.)

Plaintiff has alleged a lease contract between the parties and has produced it. Plaintiff’s allegations under this COA appear to be nothing more than a breach of contract COA, which is superfluous to COA No. 1 for breach of contract.

The demurrer is **SUSTAINED** with leave to amend as to this COA.

Motion to Strike

Defendant’s Motion to Strike is **GRANTED**.

The court must first note that Defendant did not comply with the requirements of CA ST CIVIL RULES Rule 3.1322(a) and specifically identify and quote the sections sought to be stricken. That being

		said, the court will proceed with the request to strike references to 'punitive damages.' The only places in the TAC which state "punitive damages" are COA Nos. 3 and 9, and Prayer 'f'. Oddly, despite COA No. 6 being on for 'Fraud,' Defendant did not request the court strike that COA. However, all three of those COA were successfully demurred to, so there is no basis for the punitive damages prayer. As there are no other requests for punitive damages in the TAC, the MTS is GRANTED and the prayer for punitive damages is ordered stricken. <u>Motion for Access</u> Plaintiff's Motion For An Order Requiring Clerk To Grant Access To Public Court Records Deliberately Restricted By Attorney Alan Mark Rothman is DENIED. It appears Plaintiff requests the court issue an order directing the Clerk of the Court to identify every lawsuit defense counsel has ever been a part of. Plaintiff provides no legal basis which would permit the court to grant the request. Plaintiff also does not state he has been prohibited access to any specific docket(s), but rather requests the Clerk perform work on behalf of Plaintiff to discover and compile a list of such cases for Plaintiff. This is an inappropriate use of judicial resources and Plaintiff is not being prohibited from performing his own research on the issues. The motion for access should be DENIED. Plaintiff is given leave to file an amended complaint within 15 days of written notice of the ruling. Case Management Conference is CONTINUED to October 16, 2026, at 9:30 a.m. Defense counsel to give notice.
11	Objective Standard Institute v. Barney et. al.	Before the Court is an order to show cause why a preliminary injunction should not issue enjoining cross-defendant Objective Standard Institute (OSI) from releasing, dissipating, encumbering or otherwise utilizing the approximately \$9 million (the "Funds") provided to OSI by cross-complainants Carl B. Barney and Center for Excellence in Higher Education (collectively, Cross-Complainants) pending resolution of this action. For the reasons set forth below, a preliminary injunction is DENIED. OSI's evidentiary objections to the declaration of Carl B. Barney (Barney Decl.") and declaration of Gerard M. Mooney ("Mooney Decl.") are OVERRULED in their entirety. Cross-Complainants' evidentiary objections to the declaration of Jason Haas ("Haas Decl.") are OVERRULED; the objections to the declaration of Craig Biddle ("C. Biddle Decl.") are SUSTAINED as to

paragraphs 6 through 11 but otherwise OVERRULED; the objections to the declaration of Sarah Biddle ("S. Biddle Decl.") are SUSTAINED as to paragraphs 18 and 19 but otherwise OVERRULED.

The purpose of a preliminary injunction is to preserve the status quo until a final determination following a trial. (*Scaringe v. J.C.C. Enterprises, Inc.* (1988) 205 Cal.App.3d 1536, 1542.) The decision to grant a preliminary injunction rests in the sound discretion of the trial court. (*IT Corp. v. County of Imperial* (1983) 35 Cal.3d 63.) In exercising that discretion, the court evaluates two interrelated factors: the likelihood that the plaintiff will prevail on the merits at trial, and the interim harm that the plaintiff is likely to sustain if the injunction were denied as compared to the harm that the defendant is likely to suffer if the preliminary injunction were issued. (*Nutro Products, Inc. v. Cole Grain Co.* (1992) 3 Cal.App.4th 860, 865; *Tahoe Keys Property Owners' Assn. v. State Water Resources Control Bd.* (1994) 29 Cal.App. 4th 1459, 1470-1471.) "The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction." (*Butt v. State of California* (1992) 4 Cal. 4th 668, 678.)

Probability of Success:

Despite the numerous causes of action alleged in the cross-complaint, at the heart of this dispute is the enforceability of the Advisement Agreements which placed conditions on the use of the \$7.5 million in OSI Reserve Funds over \$10,000, including requiring unanimous approval by Barney, Biddle and Lenny Esmond.

1. Declaratory relief

Cross-Complainants seek declaratory relief that the "unanimous consent requirement in the Advisement Agreement is a permissible use restriction" under federal tax law, and the "Advisement Agreement is a valid and enforceable agreement that governs the use of the [OSI Reserve Funds]" under state law such that the "unanimous consent requirement remains in full force and effect, and OSI has no authority to expend the Restricted Funds without the unanimous consent of Mr. Barney, OSI's Executive Director, and Mr. Esmond, except for projects under \$10,000." (XC ¶¶ 42, 45.)

Here, Cross-Complainants submit no argument or authority supporting their allegations that the Advisements are legally enforceable documents under either federal or state law. Cross-Complainants bypass these material allegations, and merely assume the Advisements are enforceable. (Motion, pp. 22-23.)

Cross-Complainants concede the four grants totaling \$7.5 million to OSI constitute charitable donations for which they took federal tax deductions. (XC ¶ 20; Haas Decl., Ex. A.) In the opposition, OSI cites to overwhelming authority under federal and state law requiring a donor to relinquish complete control and dominion over the donated property to qualify for tax deductible contributions. (Opposition, pp. 13-16, citing *Goldstein v. Comm'r* (1987) 89 T.C.

535, 541-542; *Viralam v. Comm’r of Internal Revenue* (2011) 136 T.C. 151, 162; *Davis v. Comm’r of Internal Revenue* (1983) 81 T.C. 806, 817; 26 C.F.R. § 1.170A-1; 26 C.F.R. § 25.511-2(b); *Jaffe v. Carroll* (1973) 35 Cal.53, 59; see also California’s Uniform Prudent Management of Institutional Funds Act, Probate Code §§ 18501 et. seq.) OSI argues the Advisement Agreements are void as contracts with an illegal object, i.e., for Cross-Complainants to retain the tax benefit of completed charitable gifts while simultaneously retaining control over the disposition of those funds. (Opposition, p. 16, citing Civ. Code §§ 1550, 1667; *Yoo v. Jho* (2007) 147 Cal.App.4th 1249, 1251.) Cross-Complainants fail to address any of these arguments in the Reply, thereby conceding the merits. (*DuPont Merck Pharmaceutical Co. v. Sup. Ct.* (2000) 78 Cal.App.4th 562, 566; *Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 529.)

Cross-Complainants failed to show probability of success on the merits of their declaratory relief claims, i.e., that the Advisement Agreements are enforceable.

2. Breach of trust

Cross-Complainants contend OSI held the Funds “in trust” and that OSI breached the trust by failing to abide by the terms of the Advisement Agreements. (Motion, p. 23; XC ¶ 50.) The parties dispute whether the elements of trust intent and designated beneficiaries are met to form a valid trust. Critically, however, a trust may only be “created for any purpose that is not illegal or against public policy.” (Prob. Code § 15203.) A trust terminates when “[t]he trust purpose becomes unlawful.” (Prob. Code § 15407, subd. (a)(3).) Taken together, these provisions establish that an unlawful trust either prevents valid formation or compels termination – leaving no legally cognizable trust instrument upon which a breach of trust can be grounded. As discussed above, Cross-Complainants failed to rebut OSI’s argument the Advisement Agreements are void for having an unlawful purpose. Cross-Complainants fail to show probability of success on the merits of the breach of trust claim.

3. Rescission

Cross-Complainants argue that even if the Advisements are “unenforceable,” the \$7.5 million in OSI Restricted Funds must “be returned to Cross-Complainants via rescission of the Advisement Agreements for either unilateral or mutual mistake.” (Motion, p. 23; see also XC ¶¶ 114, 115.)

Rescission extinguishes the contract and restores the parties to their original position. Each party typically must return what was received under the contract. (Civ. Code §§ 1688, 1691, 1692; *Geraghty v. Shalizi* (2017) 8 Cal.App.5th 593, 597; Witkin, Summary of California Law, Contracts §§ 965 to 975.)

Here, Cross-Complainants concede the parties entered into the Advisements only *after* the four charitable contributions were

completed. (Barney Decl. ¶¶ 8-16.) At the time of the funds were transferred, Cross-Complainants acknowledged them as “grants” and/or OSI sent receipts of the tax-deductible contributions. (C. Biddle Decl., Exs. 5, 7, 8, 9, 10.) Accordingly, by the time the Advisements were executed, the grants had been made and completed. The funds were not transferred via the Advisements, and OSI received nothing by virtue of the Advisements. Thus, rescinding the Advisements does not entitle Cross-Complainants to the return of the funds.

Cross-Complainants fail to show probability of success on their rescission claim. Cross-Complainants also failed to make any legal argument as to any of their other claims, including fraud, breach of fiduciary duty, etc.

Irreparable Harm:

Irreparable harm is where someone will be significantly hurt in a way that cannot later be repaired. (*People ex rel. Gow v. Mitchell Brothers’ Santa Ana Theater* (1981) 118 Cal.App.3d 863, 870-871.) “An injunction cannot issue in a vacuum based on the proponents’ fears about something that may happen in the future. It must be supported by actual evidence that there is a realistic prospect that the party enjoined intends to engage in the prohibited activity.” (*Korean Philadelphia Presbyterian Church v. California Presbytery* (2000) 77 Cal.App.4th 1069, 1084.)

Here, Cross-Complainants argue OSI is “aggressively dissipating” the OSI Reserve Funds, including the immediate threatened use of \$1 to \$2 million for a “LevelUp Conference” scheduled for July 8-11, 2026 in Chicago. (Barney Decl. ¶¶ 28-35.) In response, OSI contends the expenditures for the annual LevelUp Conference are ordinary, recurring expenses that are and have always been part of OSI’s usual business operations, and in fact, the 2026 LevelUp Conference was previously disclosed to Cross-Complainants. (C. Biddle Decl. ¶ 98-100; S. Biddle Decl., ¶ 18.) OSI also produced evidence that it has adhered to an interim spending protocol that limits expenditures to ordinary operating expenses and reasonable attorney costs, and OSI’s present operation expenditures are consistent with its historical expenditures in prior years. In fact, the 2026 projected expenses are lower than previous years. (S. Biddle Decl. ¶¶ 2-5, 15-18, Exs. A, B.) Cross-Complainants produced no evidence that OSI is unreasonably dissipating funds beyond ordinary operating expenses. Cross-Complainants have not shown irreparable harm of inadequate remedy at law (e.g., money damages).

By contrast, preventing OSI from accessing or using the OSI Reserve Funds would force OSI to cease all of its operations, i.e., OSI contends that without these funds OSI can only operate for 3-4 weeks. Specifically, without being able to draw upon the OSI Reserve Funds, OSI will be unable to pay its employees and contractors, unable to continue teaching students, be forced to discontinue online courses, cancel its annual summer conference, cancel scholarships, shut down its website, and unable to pay its legal fees, and forced to go out of business as a nonprofit

		educational organization. (S. Biddle Decl. ¶¶ 7-13.) OSI has shown irreparable harm if the preliminary injunction were granted. The balance of harms weighs in favor of denying the preliminary injunction, and Cross-Complainants have not shown probability of success on the merits of their claims. As such, Cross-Complainants' request for preliminary injunction is DENIED. Counsel for Cross-Complainant OSI shall give notice of this ruling.
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